Income Crossover Analysis

When Does ADAP Actually Pay? — Revised on the Government's Own Published Numbers

Submitted by: The Alberta Disability System Breakdown
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Revised Edition — May 2026

METHODOLOGICAL TRANSPARENCY — UPDATED FOR MAY 12, 2026 FACT SHEET:

This is a revised edition of the April 2026 analysis. It incorporates the Government of Alberta's own published ***Alberta Disability Assistance Program Fact Sheet, dated May 12, 2026****. Where the original analysis relied on modelled assumptions due to missing government data, this revision uses the government's own published figures. Where the government has still not published rule tables — specifically, the exact ADAP earnings clawback rate schedule — the original modelled scenarios are retained and acknowledged as estimates. The math is shown. The assumptions are stated. The government is invited to publish complete rule tables and correct the record.*

1. PURPOSE OF THIS DOCUMENT

The Government of Alberta has stated that the Alberta Disability Assistance Program (ADAP) will support disabled Albertans to pursue employment and improve their financial outcomes. This document tests that claim against the government's own publicly available numbers.

Specifically, this analysis asks two questions:

- **For a single recipient:** at what point — if ever — does a disabled Albertan earn more total income under ADAP than under the current AISH program?
- **For a two-recipient household:** what does the newly published 88% cohabitation rule do to combined household income compared to two unreduced AISH benefits?

The answers, established below: single recipients only out-earn AISH under ADAP at near-full-time employment — a level of work that is structurally unreachable for the majority of the AISH-qualified population. Two-recipient households are now subject to a base-benefit reduction that compounds with the AISH-to-ADAP rate cut and the federal Canada Disability Benefit clawback, producing cumulative losses approaching $15,000 per year per household.

2. WHAT THE MAY 12, 2026 FACT SHEET CHANGED

On May 12, 2026, the Government of Alberta released an ADAP Fact Sheet (alberta.ca/system/files/alss-adap-fact-sheet.pdf) that materially updated the published rules. The following changes are now official government policy:

Rule	Government-Published Position
Automatic AISH retention	(1) severe and profound developmental disability or PDD-eligible; (2) palliative or terminal medical con

Rule	Government-Published Position
ADAP core benefit	$1,740 per month
AISH transition benefit	$200/month top-up to maintain $1,940 until December 31, 2027
Cohabitation rule (NEW)	Effective August 2026 benefit period: each partner in a two-client household receives 88% of the maxi
Earnings exemptions	AISH Single/Parent $350; ADAP Single $700; ADAP Parent with dependents $1,100; AISH or ADAP C
Clawback shape	"Starting with less than a cent per dollar and increasing significantly approaching $45,000 employmen
Annual earnings cap	$45,240
Spousal pension exemption (NEW)	Effective July 2026: first $1,200 fully exempt; 25% of remaining amount also exempt
Child benefits (recalibrated)	Effective August 2026: $300 first child; $117 second; $88 third; $59 fourth; $30 each additional
Unified regulation	The AISH General Regulation now applies to both AISH and ADAP
Recipient notification	Government notifying all AISH recipients in mid-May 2026 of specific transition status

WHAT THIS DOCUMENT WAS WAITING FOR:

The April 2026 analysis modelled two clawback scenarios because the government had not published the full rule tables. The May 12 fact sheet still does not publish exact rate tables — but it does verbally describe the phase-out shape, confirm earnings exemption levels, and introduce a major new structural rule (the 88% cohabitation reduction) that the original analysis could not address. This revision incorporates everything the government has now made public.

3. THE NUMBERS — SINGLE RECIPIENT

The single-recipient comparison from the April 2026 edition holds. The May 12 fact sheet confirms the base benefit and earnings exemption values used in the original analysis:

Program	Base Benefit	Employment Exemption	Total Before Clawback
Current AISH	$1,940 / month	$1,072 / month	$3,012 / month
ADAP (post-July 2026)	$1,740 / month	$700 / month	$2,440 / month
Difference	–$200 / month	–$372 / month	–$572 / month

FINDING — CONFIRMED:

Under ADAP, a single recipient loses $572 per month in income flexibility before benefit reductions begin — even before working a single hour. That is $6,864 per year, structurally removed from day one. The fact sheet confirms each value in the comparison above.

The fact sheet also describes the clawback shape above the $700 exemption: *"Employment income above $700 per month will be gradually deducted starting with less than a cent per dollar and increasing significantly approaching $45,000 employment income per year."* This verbal description suggests a softer initial taper than the original analysis's Model A (25% starting band) and is roughly consistent with Model B (15% starting band). However, the operational rate tables remain unpublished. The crossover ranges from the April 2026 edition are reproduced below as the still-best-available estimate:

WHY THE RATE TABLES ARE STILL MISSING — AR 96/2026, SCHEDULE 1, SECTION 4:

The new regulation does not contain the operational ADAP employment-income clawback rates. Instead, Schedule 1, Section 4(2) explicitly defers them: "The Minister may, by order, determine (a) the employment and self-employment income amounts that a director must deduct when determining income, and (b) the method for determining additional employment and self-employment income amounts that a director must deduct when determining income." The clawback schedule is therefore not a publication delay — it is structurally separated from the regulation and will issue via Ministerial Order. As of the date of this revised edition, no such order has been published. The crossover analysis in this section will require a further revision once it is.

Hourly Wage	Hours/Week Where ADAP First Surpasses Current AISH	Plain Language
$15 / hour	35 – 40 hours / week	Near full-time only
$16 / hour	32 – 37 hours / week	Near full-time only
$17 / hour	31 – 35 hours / week	Near full-time only
$18 / hour	29 – 33 hours / week	Near full-time only
$19 / hour	27 – 32 hours / week	Near full-time only
$20 / hour	26 – 30 hours / week	Near full-time only

STRUCTURAL FINDING:

At minimum wage ($15/hour), ADAP does not surpass current AISH until a recipient sustains 35 to 40 hours per week — every week. The program the government calls an employment incentive only outperforms its predecessor at near-full-time employment.

4. THE 88% COHABITATION RULE — HOUSEHOLD INCOME ANALYSIS

The Government of Alberta's May 12, 2026 fact sheet introduces a new structural rule that the April 2026 edition could not address:

> **GOVERNMENT FACT SHEET — ALLOWANCE FOR TWO-CLIENT COUPLES LIVING TOGETHER:**
>
> *"Starting the August 2026 benefit period, in households where two adults receive disability income assistance (AISH or ADAP), each partner will receive 88% of the maximum individual benefit to reflect a couple's shared household expenses and mutual financial responsibility. This approach aligns with how other jurisdictions structure disability benefits and helps ensure supports are distributed fairly."*
>
> *Source: Government of Alberta, Assisted Living and Social Services — Alberta Disability Assistance Program Fact Sheet, May 12, 2026.*
>
> ***Statutory text — Assured Income for the Severely Handicapped General Regulation, AR 96/2026, Section 8(4):*** *"If an applicant or client and the applicant's or client's cohabiting partner each are an applicant or client eligible to receive a living allowance benefit, the monthly amount of the living allowance benefit for each of the applicant or client and the applicant's or client's cohabiting partner is 88% of the monthly amount of the living allowance benefit set out in subsection (2) or (3), as applicable."*
>
> *Source: AR 96/2026 (filed May 12, 2026, in force July 2, 2026), Section 8(4). This regulation repealed and replaced AR 91/2007 (the prior AISH General Regulation) and now applies to both AISH and ADAP under a unified instrument.*

Operationally, this rule applies a 12% reduction to each partner's individual base benefit when two adults in the same household both receive disability income assistance. The reduction applies regardless of which program each partner is on. The mathematics — using the government's own published base rates — produce the following per-partner outcomes:

Recipient Program	Unreduced Base	After 88% Rule	Monthly Reduction
AISH	$1,940.00	$1,707.20	–$232.80
ADAP	$1,740.00	$1,531.20	–$208.80

Household income — all combinations

Combined household income for two recipients, before any employment earnings, under each combination of program assignment:

Household Composition	Partner 1	Partner 2	Combined	Annual Loss vs. Baseline
Baseline (two unreduced AISH)	$1,940.00	$1,940.00	$3,880.00	—
Two AISH (88% rule)	$1,707.20	$1,707.20	$3,414.40	–$5,587.20
Mixed (AISH + ADAP)	$1,707.20	$1,531.20	$3,238.40	–$7,699.20

Household Composition	Partner 1	Partner 2	Combined	Annual Loss vs. Baseline
Two ADAP (88% rule)	$1,531.20	$1,531.20	$3,062.40	–$9,811.20

FINDING — DUAL-RECIPIENT HOUSEHOLDS:

A household where both partners are disabled Albertans receiving AISH today, transitioning to ADAP under the new framework, faces a structural household income reduction of $817.60 per month — $9,811.20 per year — compared to the two unreduced AISH benefits they currently receive. This is before the federal Canada Disability Benefit clawback (an additional $200/month per recipient) and before any employment-income clawback. The 88% cohabitation rule applies on top of the AISH-to-ADAP base-rate cut, not instead of it.

Compounded household losses including the CDB clawback

Alberta is the only province in Canada that claws back the federal Canada Disability Benefit ($200/month per recipient) dollar-for-dollar from AISH and ADAP payments. For dual-recipient households, the CDB clawback compounds with the 88% cohabitation rule:

Loss Component (annual, per household)	Two-AISH HH	Mixed HH	Two-ADAP HH
88% cohabitation reduction	–$5,587.20	–$7,699.20	–$9,811.20
CDB clawback (both partners × $200)	–$4,800.00	–$4,800.00	–$4,800.00
Total annual household loss	–$10,387.20	–$12,499.20	–$14,611.20

THE COMPOUNDED FINDING:

A two-ADAP household loses up to $14,611.20 per year compared to the two unreduced AISH benefits the household currently receives — before any employment income is considered, before any other clawback interaction, and before the December 31, 2027 expiry of the transition benefit. The government's framing of ADAP as an empowerment program does not address what happens to households where two disabled adults are trying to share housing in the only way the program structure now allows.

5. THE VARIABLE THE MODEL CANNOT CAPTURE

What Episodic Disability Actually Means

The crossover analysis above assumes consistent, uninterrupted employment at a fixed number of hours per week. That assumption is not realistic for a significant portion of the AISH recipient population.

Many qualifying conditions are episodic in nature. Episodic disability means a person's functional capacity fluctuates — sometimes dramatically — over days, weeks, and months. A person may be capable of 25 hours of work during a stable period and zero hours during a flare. They are not choosing to be inconsistent. Their condition is inconsistent. That is what makes it a disability.

Conditions commonly associated with episodic patterns include — but are not limited to:

- Autoimmune and inflammatory conditions: lupus, rheumatoid arthritis, Crohn's disease, multiple sclerosis
- Chronic pain conditions and fibromyalgia
- Mental health conditions: bipolar disorder, PTSD, severe depression, anxiety disorders
- Neurological conditions: epilepsy, migraine disorders, acquired brain injury
- Cardiac and respiratory conditions with variable symptom presentation
- Complex genetic syndromes with multi-system involvement

Why the Crossover Point Is Structurally Unreachable for Many Recipients

ADAP surpasses AISH only at 26 to 40 sustained hours per week. For a person with an episodic disability, the word *sustained* is the barrier.

Consistent 30-hour-per-week employment requires a condition stable enough that symptoms do not interrupt scheduled shifts; a health trajectory predictable enough that an employer can rely on attendance; sufficient energy, cognitive function, and pain management to sustain productive output across a full shift; and no caregiving obligations that require immediate, unscheduled absence.

For a person whose functional capacity fluctuates — who has productive weeks followed by weeks where leaving the house is not possible — none of these conditions are reliably met. Not because of insufficient motivation. Because the disability is episodic.

> **STRUCTURAL CONTRADICTION:**
>
> *ADAP's financial advantage only materializes at the exact employment level that episodic disability makes structurally unreliable. The program rewards a consistency that the qualifying conditions do not allow.*

What Happens During a Flare

Under current AISH, income is stable. The base benefit does not fluctuate with a recipient's health status. If a person works 20 hours one week and zero the next due to a symptom flare, their AISH base remains intact.

Under ADAP, the program is designed around employment participation. The May 12 fact sheet does not address what happens during a documented medical flare. Do clawbacks adjust in real time? Is there a grace period? Is income protected during health-related work interruptions? These questions remain unanswered.

6. THE POLICY QUESTION THE GOVERNMENT HAS NOT ANSWERED

If ADAP only outperforms AISH at near-full-time employment for single recipients — and produces $5,587 to $9,811 per year in household income losses for two-recipient households — and many AISH recipients cannot sustain near-full-time employment due to the nature of their qualifying conditions, then the program's stated rationale — improving financial outcomes for disabled Albertans — does not hold for the majority of the population it is being applied to.

What is the government's official estimate of how many current AISH recipients are medically capable of consistently working 26 to 40 hours per week? If that estimate does not exist, why was a policy requiring near-full-time employment to break even designed without it?

For the approximately 3,419 AISH households currently classified as 'Childless Couples' and 2,222 classified as 'Couples with Children' (Government of Alberta AISH Open Data, September 2025): does the government's own modelling acknowledge the cumulative annual household loss of up to $14,611 — and if so, what is the policy rationale for it?

7. FORMAL REQUESTS

Based on this revised analysis, this document formally requests that the Government of Alberta provide:

- The complete ADAP earnings clawback schedule — specifically, the percentage clawback applied at each $1,000 increment of monthly earnings between $700 and $3,770 — referenced verbally in the May 12, 2026 fact sheet but not published in operational form.
- The government's own financial modelling showing when ADAP produces superior income outcomes compared to AISH, across realistic work capacity scenarios including part-time and episodic employment, for both single recipients and dual-recipient households.
- The government's official estimate of the percentage of current AISH recipients medically capable of sustained employment at 26 or more hours per week.
- The government's published policy rationale for the 88% cohabitation rule — specifically, the evidentiary basis for the 12% reduction figure as a measure of shared household expenses for two disability income recipients.
- Documentation of how ADAP will protect recipients with episodic disabilities from income instability during documented symptom flares.
- Clarification of whether dual-recipient households will receive the recalibrated child benefits for shared dependent children, and how the 88% cohabitation rule interacts with the child benefit calculation.
- Clarification of whether recipients who cannot reach the crossover point will experience a permanent, structural income reduction as a direct result of this transition.

If the government's modelling shows a different result than the analysis presented here, this campaign invites that correction — in writing, with the full methodology attached.

SOURCE INDEX

Primary government sources

- **Government of Alberta** — Alberta Disability Assistance Program Fact Sheet. Published May 12, 2026. *alberta.ca/system/files/alss-adap-fact-sheet.pdf*. Primary source for the 88% cohabitation rule, automatic AISH retention criteria (four categories), earnings exemption table, spousal pension exemption, recalibrated child benefits, and the verbal description of the ADAP earnings clawback shape.
- **Government of Alberta** — Alberta Disability Assistance Program program page. *alberta.ca/alberta-disability-assistance-program*. Confirms $1,740 ADAP base benefit, $700 single earnings exemption, $45,240 annual employment income cap.
- **Government of Alberta** — AISH Caseload Open Data, September 2025. *open.alberta.ca*. Source for household composition figures: 79,290 total recipients, 3,419 childless couples (4.3%), 2,222 couples with children (2.5%), 68,223 single individuals, 5,426 single parents.
- **Government of Alberta** — AISH benefits page; current $1,940/month single living allowance rate (2026); current $1,072/month employment income exemption; cohabitation rule framework. *alberta.ca/aish*.

Legislative and regulatory sources

- **Assured Income for the Severely Handicapped General Regulation, AR 96/2026** — filed May 12, 2026, in force July 2, 2026. The new unified regulation under the AISH Act applying to both AISH and ADAP. Source of statutory text for the 88% cohabitation rule (Section 8(4)), the AISH living allowance (Section 8(2)), the ADAP living allowance (Section 8(3)), the child benefit ladder (Section 10), the spousal pension exemption (Schedule 1 Section 3), and the explicit deferral of employment-income clawback rates to Ministerial Order (Schedule 1 Section 4).
- **Bill 12**, Alberta Legislature — passed December 9, 2025. Section 12.8: transition and appeal provisions. Establishes the statutory framework for AISH-to-ADAP transition; provisions removing the Citizens Appeal Panel for AISH/ADAP eligibility decisions.
- **Assured Income for the Severely Handicapped Regulation, Alta Reg 91/2007** — **repealed** by AR 96/2026 Section 22, effective July 2, 2026. The prior AISH General Regulation has been superseded by the unified instrument above. References to AR 91/2007 in older campaign materials and third-party analyses should be read as historical.
- **Canada Disability Benefit Act**, S.C. 2023, c. 17. Federal statutory basis for the CDB. Per AR 96/2026 Schedule 1 Section 1(1)(e), the CDB is explicitly counted as income for the purpose of determining AISH/ADAP eligibility — moving Alberta's clawback from administrative practice into regulation.

Independent analysis and third-party documentation

- **Inclusion Alberta** — Canada Disability Benefit in Alberta Fact Sheet, July 2025. *inclusionalberta.org*. Documents Alberta's CDB clawback policy and its position as the only province to implement dollar-for-dollar clawback.
- **Inclusion Alberta** — ADAP Fact Sheets, October and December 2025. *inclusionalberta.org*. Documents earnings exemption changes, cohabitation rule changes, and the structural impact analysis on disabled Albertans.
- **Petit, G.**, University of Calgary — ADAP earnings analysis. Cited in CBC News, August 21, 2025, and in Inclusion Alberta materials. Source for the original $2,114/month threshold and Case Study 1 analysis showing recipient $164/month worse off under ADAP.
- **Petit, G.** — "The Canada Disability Benefit and Provincial Clawback: A Fiscal Transfer Analysis," Canadian Tax Observatory, April 22, 2026. Independent documentation of the Alberta clawback as a structural

fiscal-transfer-capture mechanism unique within the Canadian provincial system.

• **CBC News** — "AISH recipient, advocates worry about Alberta's new disability benefit program." Bellefontaine, M., August 21, 2025. *cbc.ca*.

• **Employment and Social Development Canada** — Canada Disability Benefit program page, 2025. *canada.ca/en/services/benefits/disability/canada-disability-benefit.html*.

Companion campaign documentation

• **The Alberta Disability System Breakdown** — Income Crossover Analysis, original edition, April 2026. Predecessor document; modelled assumptions (ADAP Model A, ADAP Model B) referenced in Section 3.

• **The Alberta Disability System Breakdown** — AISH Evidentiary Report Series, April 2026. Section 3 (Financial Reality Report) documents the CDB clawback figures; Sections 4–5 document the AISH cohabitation rule operational mechanics and the working-age stage of the partnership penalty.

• **The Alberta Disability System Breakdown** — The Cage Doesn't End, May 2026. Movement One Section 1.5 documents the cohabitation rule's structural effect on marriage and household composition; Movement Two Section 2.7 documents the partnership penalty across the disability and aging lifecycle.

• **The Alberta Disability System Breakdown** — Compound Failure Brief, May 2026. Documents the cumulative impact of the ADAP transition on the AISH population.

ATTRIBUTION

Income crossover modelling in this document is built upon foundational analytical work contributed by an anonymous AISH recipient from Calgary, Alberta, who chose not to attach their name to their research. Their math held up against the government's eventual fact sheet.

Cohabitation rule analysis (Section 4) was contributed by Jon Auger (Rising Contributor), who identified and modelled the household-income implications of the 88% rule within days of the government's May 12, 2026 fact sheet publication. The math presented here reproduces and verifies his work.

Episodic disability framing, structural analysis, and document compilation by The Alberta Disability System Breakdown.

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